

Decision 24-01-008 January 11, 2024

BEFORE THE PUBLIC UTILITIES COMMISSION OF THE STATE OF CALIFORNIA

In the Matter of the Joint Application of
Starwood Capital Group Holdings GP
L.L.C., Transferor and Lotus
Infrastructure, LLC, Transferee for
Approval of Indirect Transfer of Control
of DCR Transmission L.L.C. pursuant to
Public Utilities Code Section 854(a).

Application 23-02-013

**DECISION APPROVING TRANSFER OF INDIRECT CONTROL
OF DCR TRANSMISSION L.L.C.**

Summary

Pursuant to Public Utilities Code Section 854, we grant the Application of Joint Applicants Starwood Capital Group Holdings GP L.L.C. (Starwood), as Transferor, and Lotus Infrastructure, LLC (Lotus), as Transferee, for authority to transfer indirect control of DCR Transmission L.L.C. (DRCT) from Starwood to Lotus. We find that this proposed transfer of indirect control of DCRT raises no concerns adverse to the public interest when examined against the public interest criteria enumerated in Public Utilities Code Section 854. We conclude that the proposed transfer is in conformance with applicable statutory law and Commission rules, as discussed below.

We concurrently grant the Joint Applicants' Motion for authorization to file certain designated material under seal.

The proceeding is closed.

1. Factual and Procedural Background

On February 17, 2023, this Application was filed jointly by Starwood Capital Group Holdings GP L.L.C. (Starwood) as transferor and by Lotus Infrastructure, LLC (Lotus) as transferee, seeking approval of the indirect transfer of control of DCR Transmission L.L.C. (DCRT). The Application was filed pursuant to Public Utility (Pub. Util.) Code § 854(a). No Protests, Responses, or Motions were filed regarding the Application.

The real subject of the Application is DCRT's electrical transmission project. On November 5, 2021, in Decision (D.) 21-11-003, the California Public Utilities Commission (Commission) issued a Certificate of Public Convenience and Necessity (CPCN) for DCRT to construct the Ten West Link Transmission Line Project (Project). The Project is a 125-mile, series-compensated 500 kilovolt (kV) transmission line with a capacity of approximately 3,200 GW between the 500 kV Colorado River substation and the 500kV Delaney substation.

DCRT is a "public utility" and "electrical corporation" as those terms are defined by Public Utility (Pub. Util.) Code §§ 216 and 218. DCRT is a transmission-only business. DCRT is regulated by the Commission for purposes of safety.

The Project is subject to the control of the California Independent System Operations (CAISO). The Project will be subject to the CAISO Tariff. The Federal Energy Regulatory Commission (FERC) will regulate DCRT's rates and DCRT's terms and conditions of service.

In net effect, the intent of the Application is for Starwood to transfer indirect control of DCRT and its CPCN to Lotus, asserting that Lotus has beneficial knowledge and skill to complete the Project.¹

On April 7, 2023, the assigned Administrative Law Judge (ALJ) issued a Ruling directing the Joint Applicants to respond to a series of questions. On April 17, 2023, the Joint Applicants filed a response to the Ruling. The Joint Applicants' response included exhibits purporting to depict the ownership structure and the control structure of the complex web of companies that separately own and separately control DCRT.

On April 20, 2023, a prehearing conference (PHC) was held to address the issues of law and fact, determine the need for hearing, set the schedule for resolving the matter, and address other matters as necessary. At that time, discussion revealed that there were additional disclosures necessary to unravel the whole of the web of companies that own and the web of companies that control DCRT. It was agreed that further exploration of this subject, and related subjects, was still needed.

On April 26, 2023, the ALJ issued a Second Ruling directing the Joint Applicants to respond to a series of questions regarding the authority of DCRT's owners, a further complete disclosure of DCRT's ownership and control, a statement in compliance with Rule 3.6, a statement in compliance with Pub. Util. Code § 854, and additional questions regarding DCRT, the Project, and the authority of the Commission. On May 15, 2023, the Joint Applicants provided responses to the Second Ruling. The Joint Applicants' response included an exhibit with a complete depiction of the complex DCRT ownership and control

¹ Application at 1-2, 10.

both before the proposed transfer of control and after the proposed transfer of control), so that an understanding can be gained of the ownership and control of DCRT.²

On June 13, 2023, the Scoping Memo was issued by the assigned Commissioner. It determined that no evidentiary hearing was needed. The scoping memo identified the issue to be determined in this proceeding.

On June 14, 2023, the assigned ALJ issued a Third Ruling with questions premised upon the findings in D.21-11-003. On June 30, 2023, the Joint Applicants filed a conclusory response to the Third Ruling questions. Consequently, on July 18, 2023, the ALJ issued a Fourth Ruling with additional questions premised upon the findings in D.21-11-003. On August 4, 2023, the Joint Applicants filed a conclusory set of responses to the Fourth Rulings questions.

In July 2023, it was learned that on June 29, 2023, DCRT had filed with FERC a Request For Waiver and a revised Request For Revenue Requirement regarding the Project.³ While DCRT has originally set a Project cost cap maximum of \$389,045,968, including contingency, subject to the Commission's authority to review of actual costs incurred for reasonableness and prudence, in its June 29, 2023, letter to FERC, DCRT now requested FERC authorization for a total Project cost of \$553,261,497. On July 21, 2023, the Commission filed a FERC Protest, Request For Hearing, And Reservation Of Rights regarding DCRT's Request For Waiver and revised Request For Revenue Requirement.

² Joint Applicants' Responses to Second ALJ Ruling, Attachment B, is attached to this Decision as Attachment 1.

³ FERC Docket No. ER23-2309:
https://elibrary.ferc.gov/eLibrary/filelist?accession_number=20230630-5253&optimized=false

Pursuant to these new events, on August 8, 2023, a Fifth ALJ Ruling was issued with additional questions related to DCRT's FERC Requests. Those Ruling questions specifically addressed the DCRT FERC filing. On August 18, 2023, DCRT filed responses to the Fifth ALJ Ruling. On August 24, 2023, a Sixth ALJ Ruling was issued, requiring DCRT to restate each of the Ordering Paragraphs of D.21-11-003 (the Decision authorizing the DCRT CPCN for the Project), and then respond regarding DCRT's compliance with each of the Ordering Paragraphs. On September 22, 2023, DCRT filed its response, and acknowledged that with regard to Ordering Paragraph No.7, concerning the obligation to provide continuing cost submittals to the Commission, "DCRT did not provide Commission staff an update regarding estimated project cost or spending prior to August 22, 2023" (a month after the Commission had filed its FERC Protest regarding DCRT's FERC Requests).

Based upon review and consideration of the lengthy series of ALJ questions and the DCRT responses; the Commission's party status in the DCRT FERC proceeding; and the absence of any third-party input in this proceeding, the proceeding was deemed submitted.

1.1. Submission Date

This matter was submitted on September 22, 2023, upon the Joint Applicants' filing of responses to the Sixth Ruling.

2. Jurisdiction

Pub. Util. Code § 851 provides broad Commission authority to approve transfers of control which involve public utilities operating within California. DCRT is a public utility operating in California. Therefore, jurisdiction for this proceeding is properly vested in the Commission.

Pub. Util. Code § 854(a) reads in pertinent part as follows:

No person or corporation, whether or not organized under the laws of this state, shall merge, acquire, or control either directly or indirectly any public utility organized and doing business in this state without first securing authorization to do so from this Commission. The Commission may establish by order or rule the definitions of what constitute merger, acquisition, or control activities that are subject to this section of the statute.

Accordingly, Pub. Util. Code §§ 851 and 854 each apply for purposes of this proceeding. After the transfer of indirect control proposed by Joint Applicants is completed, the Commission will retain the same regulatory authority over DCRT that it currently possesses.

Also, the Application comports with the requirements of the Commission's Rules for Practice and Procedure.

Therefore, the Commission may proceed to a review of the merits of the Application.

3. Issues Before the Commission

As set forth in the June 13, 2023, Scoping Memo, the identified issues to be determined in this proceeding as the following:

1. Is the Application in general compliance with the requirements of the Pub. Util. Code and Commission decisions, orders, and resolutions?
2. Would approval of the Application have any impact on the timely completion, cost, financing, reliability, customer service, or safety of the Ten West Link Transmission Line Project?
3. Is the Application in compliance with Pub. Util. Code Section 854(a)?

4. Does this proceeding impact any of the nine goals of the Commission's Environmental and Social Justice Action Plan?

4. Standard of Review

As the basis for review of this Application, we exercise our broad discretion under Pub. Util. Code §§ 851 and 854 to approve or reject a proposed transfer of control. Here, Pub. Util. Code § 854(a) is applied to the proposed transaction given the nature of the entities and their size. Neither Pub. Util. Code §§ 854(b) nor 854(c) is applicable to this proposed transaction: these sections apply to transactions where one of the utilities has gross annual California revenues exceeding \$500 million, and here neither Starwood nor Lotus fall within that category.⁴

The primary question in a transfer of control proceeding under Pub. Util. Code § 854(a) is whether the transaction will be "adverse to the public interest." While our decisions have sometimes approached this question from differing perspectives, in the context of Pub. Util. Code § 854(a), the "adverse to public interest" standard is effectively the same as the "in the public interest" standard.⁵ On this basis, we render our conclusions regarding the merits of the proposed transaction.

⁴ Joint Applicants Responses to Second ALJ Ruling at 4.

⁵ See D.07-03-047 at 5. See also D.03-06-069, in which the Commission stated that in evaluating a transaction under Pub. Util. Code § 854(a), it has discretion to consider the criteria set forth in Pub. Util. Code §§ 854(b) and (c), including "short-term and long-term economic benefit to ratepayers," "adverse effect [on] competition," "quality of service," "quality of management," "fair[ness] and reasonable[ness] to affected public utility employees," "fair[ness] and reasonable[ness] to... shareholders," "[benefit] on an overall basis to state and local economies," "capacity of the commission to effectively regulate and audit," and "mitigation measures to prevent significant adverse consequences which may result."

5. Discussion of Transfer of Indirect Control of DCRT from Starwood to Lotus

As requested in the Application, indirect control of DCRT should be transferred from Starwood to Lotus. The Application and various Ruling responses from the Joint Applicants demonstrate that the operation of DCRT, and the likelihood of the management of the timely and cost-projected completion of the Project, should not be negatively impacted. As required by § 854, the record supports that the indirect transfer of control of DCRT from Starwood to Lotus would be in the public interest.

In reaching this conclusion, we consider the following positive factors:

First, the proposed transfer of indirect control of DCRT will not result in any change in the Commission's regulatory jurisdiction over DCRT and capacity to audit.⁶

Second, the proposed transfer of indirect control of DCRT will not result in any change in the direct ownership or legal structure of DCRT, and will not change the existing ability or inability of active owners or passive owners to take control of management or operations of DCRT.⁷

Third, the proposed transfer of indirect control of DCRT will not result in any change to the current employees, daily management, or operations of DCRT.⁸

Fourth, the proposed transfer of indirect control of DCRT will not result in any change in the date of completion of the Project, internal operational costs of DCRT or the Project costs sought per se by DCRT, and DCRT will neither seek nor be entitled to any increase in costs per se pursuant to the Project due to the proposed transfer, nor will the transfer

⁶ Joint Applicants' Responses to Second ALJ Ruling at 6.

⁷ *Id.* Attachment A, further supported by Attachment B organizational and ownership charts.

⁸ *Id.* at 2-3.

result in encumbrance of utility assets nor have an adverse effect on competition.⁹

Fifth, the proposed transfer of indirect control of DCRT should not be a harm to the public because the Project will be subject to the CAISO's operational control and Tariff, and the proposed transfer will have no effect on CASIO's control or on transmission competition.¹⁰

Sixth, the proposed transfer of indirect control of DCRT should be a benefit to the public as follows:

The proposed transaction should benefit ratepayers by better enabling retention of the existing DCRT management team, which has developed and managed construction of the Ten West Link project to date, through completion of the project as the proposed transaction places the head of the existing management team, Himanshu Saxena, in indirect control of the project through his affiliated Applicant, rather than subject to the control of an affiliate of his former employer. In addition, DCRT's access to capital and resources will be unaffected because it will remain a [Starwood Energy Infrastructure Fund] holding.¹¹

Seventh, the proposed transfer of indirect control of DCRT should not harm public safety, because DCRT would be under the same scheme in its construction and operation of the Project.¹²

Eighth, the proposed transfer of indirect control of DCRT should not impact any of the nine goals of the Commission's Environmental and Social

⁹ Joint Applicants' Responses to First ALJ Ruling at 5; Joint Applicants' Responses to Second ALJ Ruling at 4-6; Joint Applicants' Responses to Sixth ALJ Ruling at 3-4.

¹⁰ Joint Applicants' Responses to Second ALJ Ruling at 4.

¹¹ *Ibid.*

¹² Joint Applicants' did not address safety per se in any of its filings, despite the Scoping Issue on this subject.

Justice (ESJ) Action Plan, because DCRT would be under the same scheme in its construction and operation of the Project.¹³

While the Project now includes a very substantial issue concerning DCRT's FERC cost request for a 42% increase of \$164,215,529 (from the Project's original set cost cap maximum of \$389,045,968, including contingency, to \$553,261,497), regarding which the Commission has filed a FERC Protest, Request For Hearing and Reservation Of Rights, that cost request lies within FERC's jurisdiction. It is not within the purview of the Commission per se. While, pursuant to proceeding questioning, DCRT admitted that it failed to comply with its authorizing CPCN Decision (D.21-11-003) Ordering Paragraph No.7 regarding mandatory Commission filings as to its total estimated Project costs and actual spending, it is not clear that the indirect change in control sought through the Application will have any effect on DCRT's further compliance with the Commission's authorizing CPCN Decision. Ultimately, it is not the Commission that sets DCRT's Project rates, but FERC, and these will be exercised through CAISO's Tariff with terms and conditions of service set by FERC¹⁴: the Commission cannot directly address DCRT's Project rates, either in this or in any Commission proceeding. The Commission will pursue its interests regarding DCRT's Project costs and the consequent Project rates within FERC's jurisdiction.

There is no evidence that the Project, once in service, and under CAISO's operational control, will be impacted by the Application's proposed change in indirect control of the DCRT Project. There is no report in the Applicants' many filings of any existing plans to discontinue any service or reduce any of the

¹³ Joint Applicants' did not expressly address ESJ in any of its many filings, despite the Scoping Issue on this subject.

¹⁴ Joint Applicants' Responses to Second ALJ Ruling at 5.

Project's qualities of services that will be provided by DCRT. There are no direct retail customers for the services to be provided by the Project.¹⁵

Accordingly, we conclude that the proposed transaction for change in indirect control of DCRT presents no potential for harm to the public. In some regards, the proposed transaction for change in indirect control of DCRT should benefit the public. Therefore, the proposed transaction is not adverse to the public interest.

6. Environmental Review Considerations

Regarding environmental and safety considerations, under the California Environmental Quality Act (CEQA), we must consider the environmental consequences of projects that are subject to our discretionary approval. (Public Resources Code § 21080.) In some instances, a change of ownership and/or control may alter an approved project, result in new projects, or change facility operations, etc., in ways that have an environmental impact.

However, we find that the proposed transaction will not result in any change in the operation of DCRT's Project or in any additional construction. In similar circumstances, we have ruled that transfers of control of public utilities, unless construction is required as a condition of sale, are not subject to CEQA. Here, the lone engagement with the utility is a high-level transfer of indirect control, and there is no proposed construction required as a condition.

Therefore, we find that the proposed project qualifies for an exemption from CEQA pursuant to California Code of Regulations § 15061(b)(3)(1) of the CEQA guidelines. Accordingly, the proposed transaction qualifies for an exemption from CEQA, and the Commission need perform no further

¹⁵ *Ibid.*

environmental review. (*See* Guidelines For Implementing CEQA in the California Code of Regulations §§ 15060-15065.)

7. Authorization To File Documents Under Seal

On February 22, 2023, pursuant to Rule 11.4, the Joint Applicants filed a Motion for leave to file an unredacted Application Exhibit C and an unredacted Application Exhibit D as confidential materials under seal. Movants represented that, in accordance with Pub. Util. Code § 583 and General Order 66-D, the information contained in those Exhibits “reflect excerpted financial statements for Starwood Energy Infrastructure Fund II... [and] is commercially sensitive information [that] has not been publicly disclosed in any other forum and is not publicly available.”¹⁶ Movants represent that the information is sensitive, and subject to trade secrets protection exempting it from public disclosure.

There is no opposition to these Motions to file under seal.

We have reviewed the Motion, and we have reviewed the subject matter the Motion seeks to protect. The materials at issue are asserted to be commercially sensitive, non-public, and concern statutorily-protected materials regarding financial information. We have granted similar requests in the past and do so here. The unredacted Application Exhibit C and the unredacted Application Exhibit D are properly treated as protected information. Consequently, the unredacted Application Exhibit C and the unredacted Application Exhibit D shall remain under seal and shall not be made accessible or disclosed to anyone other than the Commission staff except on the further order or ruling of the Commission, the assigned Commissioner, an assigned ALJ, or the ALJ designated as Law and Motion Judge.

¹⁶ Joint Applicants’ Motion at 2.

All other Motions not expressly granted herein are hereby denied.

8. Waiver of Comment Period

This is an uncontested matter in which the Decision grants the relief requested. Accordingly, as provided in Rule 14.6(c)(2) of the Commission's Rules, the otherwise applicable 30-day public review and comment period for this Decision is waived.

9. Assignment of Proceeding

John Reynolds is the assigned Commissioner and Jason Jungreis is the assigned Administrative Law Judge in this proceeding.

Findings of Fact

1. D. 21-11-003 issued a CPCN for DCRT to construct the Ten West Link Transmission Line Project, a 125-mile, series-compensated 500 kilovolt (kV) transmission line with a capacity of approximately 3,200 GW between the 500 kV Colorado River substation and the 500kV Delaney substation.

2. The Project will be subject to the control of CAISO and subject to the CAISO Tariff, and FERC will regulate DCRT's rates and terms and conditions of service.

3. DCRT is a transmission-only business, a "public utility" and "electrical corporation" as those terms are defined by Pub. Util. Code §§ 216 and 218, and regulated by the Commission for purposes of safety.

4. Starwood seeks to transfer indirect control of DCRT and its CPCN to Lotus, asserting that Lotus has beneficial knowledge and skill to complete the Project.

5. The proposed transaction will result in only an indirect change of ownership of DCRT, and will not result in any change in the direct ownership or legal structure of DCRT or in any change in the current employees of DCRT.

6. The proposed transfer of indirect control of DCRT will not result in any change in the Commission's regulatory jurisdiction over DCRT and capacity to audit.

7. The proposed transfer of indirect control of DCRT will not change the existing control of management or operations of DCRT.

8. The proposed transfer of indirect control of DCRT will not result in any change in the construction of the Project, the date of completion of the Project, the internal operational costs of the Project, the Project costs sought per se by DCRT, entitlement to any increase in costs per se pursuant to the Project, or the Project operation.

9. The proposed transfer of indirect control of DCRT should not affect DCRT's access to capital and resources.

10. The proposed transfer of indirect control of DCRT will not result in encumbrance of utility assets.

11. The proposed transfer of indirect control of DCRT will not result in an adverse effect on competition.

12. The proposed transfer of indirect control of DCRT should not be a harm to the public because the Project will be subject to the CAISO's operational control and Tariff, and the proposed transfer will have no effect CASIO's control or on transmission competition.

13. The proposed transfer of indirect control of DCRT should be a benefit to the public through better enabling retention of the existing DCRT management team that has developed and managed construction of the Project to date, and through completion of the Project as the proposed transaction places the head of the existing management team in indirect control of the Project.

14. The proposed transfer of indirect control of DCRT should not impact Project safety.

15. The proposed transfer of indirect control of DCRT should not impact any of the nine goals of the Commission's ESJ Action Plan.

16. After the transaction, the Commission would remain in the same regulatory control position concerning DCRT as it was before the transaction.

17. The proposed transaction is not adverse to the public interest.

Conclusions of Law

1. Public Utilities (Pub. Util.) Code § 854(a) specifically requires Commission authorization before a company may merge, acquire, or control either directly or indirectly any public utility organized and doing business in this state.

2. The transfer of indirect control of DCRT requires the Commission's approval under Pub. Util. Code §§ 851 and 854(a).

3. Under Pub. Util. Code § 854, any Commission approval of a transfer of control of a regulated utility must ensure that the transfer is not adverse to the public.

4. The proposed transaction at issue in this application raises no concerns adverse to the public interest when examined against the public interest criteria found in and suggested by Pub. Util. Code § 854(a) and should be approved.

5. The proposed transaction qualifies for an exemption from CEQA pursuant to California Code of Regulations § 15061(b)(3)(1) of the Guidelines For Implementing CEQA and the Commission need perform no further environmental review.

6. Joint Applicants have met the applicable statutory law and the Commission's requirements for approval of a transfer of indirect control regarding this proposed transaction.

7. Joint Applicants' February 22, 2023, Motion for leave to file an unredacted Application Exhibit C and an unredacted Application Exhibit D as confidential materials under seal should be granted in accordance with Ordering Paragraph 3 of this Decision.

8. Since this matter is uncontested, the Decision should be effective on the date it is signed.

9. The Application should be granted to the extent provided in the following order.

10. A.22-02-013 should be closed.

O R D E R

IT IS ORDERED that:

1. Application 18-12-016, filed jointly by Starwood Capital Group Holdings GP L.L.C. (Starwood) as transferor and by Lotus Infrastructure, LLC (Lotus) as transferee, seeking approval of the indirect transfer of control of DCR Transmission L.L.C. (DCRT), is hereby approved pursuant to Public Utilities Code Sections 851 and 854(a). Applicants are hereby authorized to implement the indirect transfer of control of DCRT from Starwood to Lotus in accordance with the terms of the transaction as set forth in the Application.

2. The indirect transfer of control qualifies for an exemption from the California Environmental Act (CEQA) under California Code of Regulations Section 15061(b)(3)(1) of the Guidelines For Implementing CEQA and therefore additional environmental review is not required.

3. The Starwood Capital Group Holdings GP L.L.C. and Lotus Infrastructure, LLC's February 22, 2023, Joint Motion to file under seal an unredacted Application Exhibit C and an unredacted Application Exhibit D is granted. The Docket Office is directed to retain the unredacted version of Application Exhibit

C and the unredacted version of Application Exhibit D under seal. These materials retained under seal shall not be accessible or disclosed to persons other than Commission staff except upon further order or ruling before the Commission, the Administrative Law Judge (ALJ) to whom this proceeding was assigned, or the ALJ then designated as the law and motion judge.

4. Application 23-02-013 is closed.

This order is effective today.

Dated January 11, 2024, at San Francisco, California.

ALICE REYNOLDS
President
DARCIE L. HOUCK
JOHN REYNOLDS
KAREN DOUGLAS
Commissioners

Commissioner GENEVIEVE SHIROMA, being absent,
did not participate.

ATTACHMENT 1